



FINANCIAL METRICS AT DELISHGO

Having raised \$150 million in a funding round in 2023 on a \$1 billion post-money valuation, DelishGo experienced rapid growth. A few months earlier, the business was burning just a few million dollars a month. However, priorities shifted from validating the business model to expanding into new geographical markets, ramping up marketing efforts and ensuring premium customer service. As a result, DelishGo's unit economics worsened, and its burn rate increased to over \$10 million per month.

Thanks to the recent funding round and investors' continuing enthusiasm for the Los Angeles-based unicorn, cash was not an immediate concern provided the company could quickly improve its unit economics. With a Board meeting coming up to conclude 2023, founder and CEO Kelly Rivera, along with CFO Chris Kim and the senior team, recognized the need for metrics that clearly represented the company's current status and also communicated and guided DelishGo's journey to financial success in the not-too-distant future.

BUSINESS MODEL

Founded in 2019, DelishGo created an online marketplace where customers pay drivers to deliver groceries and other products from local stores. Customers submitted their orders and paid online or through a mobile app. Upon order submission, drivers would receive, fulfill, and deliver the customers' requests. As with many marketplaces, balancing supply and demand presented a constant challenge. "Internally at DelishGo, we view this as fundamentally a machine learning challenge," Kim explained. "Our system constantly operates models to forecast the required number of delivery personnel at any given moment, in any location." With its technology-driven approach, DelishGo facilitated delivery in as little as an hour.

DelishGo's multi-sided marketplace created an ecosystem that was complex and quite different from the traditional customer-supplier relationships. Instead, DelishGo had direct relationships with retailers, customers, drivers, and consumer product companies.

Jose Ignacio Garcia Suarez (MBA 2023), Professor Anne Beyer and Lecturer Robert Siegel prepared this case solely as the basis for class discussion. Stanford GSB cases are not intended to serve as endorsements, sources of primary data, or illustrations of either effective or ineffective handling of an administrative situation. Funding for this case was provided by the Stanford Graduate School of Business. This case was reviewed and approved before publication by a company designate.

Copyright © 2024 Board of Trustees of the Leland Stanford Junior University. All Rights Reserved. Please contact our distributors, Harvard Business Publishing (hbsp.harvard.edu) and The Case Centre (thecasecentre.org) to order copies or request permission to reproduce materials. No part of this publication may be reproduced, stored in a retrieval system, used in a spreadsheet, or transmitted in any form or by any means—electronic, mechanical, photocopying, recording, or otherwise—without the permission of the Stanford Graduate School of Business. Contact us at: businesscases@stanford.edu or Case Writing Office, Stanford Graduate School of Business, Knight Management Center, 655 Knight Way, Stanford University, Stanford, CA 94305-5015.

- DelishGo contracted with **retailers** like grocery stores, pharmacies, and convenience stores. In exchange for fulfilling and delivering orders from these retailers to customers, DelishGo charged retailers a fee that was generally a percentage value of the order.
- DelishGo **customers** paid delivery fees and a service fee, which depended on the time, location, and size of the order. DelishGo also offered “DelishGo Pro,” an annual membership priced at \$100 that provided members with free delivery and reduced service fees.
- DelishGo **drivers** were independent contractors who shopped and delivered orders if and when customers placed orders online. Driver payouts were calculated on a variety of factors including the size of the order, estimated delivery distance, and time of day when the order was placed.
- DelishGo monetized **consumer product companies** like Pepsi and Coca Cola who advertised on the app by charging for display ads, product placement and coupon redemptions.

KEY FACTOR FOR SUCCESS: SCALE

For DelishGo, as was true for most platform start-ups, getting to scale was critical. Only when the order volume in an area was sufficiently large were drivers able to fulfill the number of orders that allowed them to earn a compelling amount from fees. The business's profitability also hinged on achieving high order volumes to generate sufficient gross margin. Although DelishGo's service was first available in Los Angeles, it quickly expanded to dozens of cities to increase its scale.

Scale also played an important role in the success of DelishGo's advertising business. The larger the customer reach and the more products DelishGo sold, the more attractive it would be for consumer product companies to promote on the platform.

While the Board fully understood the importance of economies of scale, Kim feared they might be caught off guard by the high burn and the significantly negative gross margins of the business. As he prepared for the board meeting, he recognized the importance of providing a clear and concise explanation of DelishGo's economic situation.

UNIT ECONOMICS

In its early days, DelishGo had mostly focused on measuring gross margin as a measure of unit economics for its short-term goals. In preparation for the board meeting, Kim and his colleagues had developed a plan for gross margin to turn positive (**Exhibit 1**).

However, even if they met that goal, his focus would need to shift toward defining and improving contribution margin, which would offer a more comprehensive view on the true unit economics of the business. Achieving positive gross and contribution margins required a thorough understanding of the unit economics and a vision and strategy for turning it positive.

Gross Margins

DelishGo's gross margin was simply defined as its revenue less its costs of revenue. Revenue included all fees from retailers, customers, and consumer goods companies. Its costs of revenue included fulfillment costs such as driver earnings, credit card processing fees, and hosting costs. DelishGo analyzed the gross profit per order to determine the amount of cash each order generated for the business.

Other Costs

DelishGo's additional expenditures fell into several key categories: operations and support, highlighted by expenses for drivers' support hotlines, wages for customer support staff, cost of attracting new drivers, and development of new driver onboarding modules; sales and marketing, which included investments in digital advertising across social media, search engines and national brand advertising; research and development, covering engineering staff salaries and software licensing fees; and general and administrative costs, encompassed by background check fees for drivers, accounting services, wages of human resource employees, third-party consulting, and other overhead expenses.

DelishGo's leadership team would need to debate the timing and necessity of including additional costs such as operations and support or customer marketing costs in the calculation of contribution margin. Of course, including more costs in the calculations would make its unit economics look worse (**Exhibit 2, 3**). How would investors react?

GAAP vs. NON-GAAP FINANCIALS

As with all private companies, DelishGo was free to manage its own books however it wished. To date, while DelishGo had published audited financials under generally accepted accounting principles (GAAP), management relied on its own internal key performance indicators when making management decisions and talking to investors, most notably focusing on adjusted earnings before interest, depreciation and amortization (EBITDA) instead of GAAP net income.

The difference between the two profit and loss statements could be significant; for example, U.S. GAAP included estimates of the costs of stock-based compensation, reserves for legal and tax matters, acquisition related costs, etc. whereas DelishGo's Adjusted EBITDA excluded these costs (**Exhibit 4**). Public company peers like Lyft and Doordash added back these costs in their Adjusted EBITDA definition, but they could add up to hundreds of millions of dollars (**Exhibit 5, 6**). Was it reasonable for DelishGo and its public peers to focus investors on Adjusted EBITDA?

Kim, Rivera, and other members of the senior team had a lot to think about—which financial metrics would provide the board and investors with an accurate snapshot of where DelishGo was at that very moment, as well as a clear sense of its growth trajectory?

Exhibit 1
Adjusted EBITDA Plan

Annualized Profit and Loss Statement		Q4 2023E	1Y Plan	5Y Plan
<i>in millions (except BS and GP/O)</i>				
Gross Merchandise Value (\$M)		\$485	\$1,000	\$12,540
Orders		5	10	114
Basket Size (BS)		\$97	\$100	\$110
Revenue		\$65	\$195	\$2,394
Costs of Revenue		(\$135)	(\$180)	(\$1,311)
Gross Profit		(\$70)	\$15	\$1,083
<i>Memo: Gross Profit per Order (GP/O)</i>		<i>(\$14.00)</i>	<i>\$1.50</i>	<i>\$9.50</i>
Operations & Support		(\$23)	(\$28)	(\$285)
Sales & Marketing		(\$18)	(\$20)	(\$171)
Research & Development		(\$15)	(\$25)	(\$285)
General & Administration		(\$15)	(\$20)	(\$200)
Adjusted EBITDA		(\$140)	(\$78)	\$142
<i>Monthly Cash Burn</i>		<i>(\$11.7)</i>	<i>(\$6.5)</i>	<i>\$11.8</i>

Exhibit 2
DelishGo Gross Profit per Order Plan

Gross Profit Plan	Q4 2023E		1Y Plan		5Y Plan
<i>per Order (1)</i>					
Retailer Fees	\$5.00		\$8.50		\$8.50
Customer Fees	\$7.00		\$9.00		\$7.00
Advertiser Fees	\$1.00		\$2.00		\$5.50
Total Revenue per Order	\$13.00		\$19.50		\$21.00
<i>Memo: Tips</i>	\$5.00		\$6.00		\$7.00
Fulfillment Costs	\$25.00		\$16.00		\$10.00
Credit Card Fees & Other	\$2.00		\$2.00		\$1.50
Total Costs of Revenue per Order	\$27.00		\$18.00		\$11.50
Gross Profit per Order	(\$14.00)		\$1.50		\$9.50

(1) All values are in terms of dollars, not in terms of millions of dollars as was mostly the case in Exhibit 1.

Exhibit 3
DelishGo Contribution Margin per Order Plan

<u>Contribution Margin Plan</u>	<u>Q4 2023E</u>		<u>1Y Plan</u>		<u>5Y Plan</u>
<i>per Order (1)</i>					
Gross Profit	(\$14.00)		\$1.50		\$9.50
Driver Acquisition & Support	(\$2.50)		(\$1.25)		(\$1.25)
Customer Support & Service	(\$1.00)		(\$0.75)		(\$0.75)
Other Operations & Support	(\$1.00)		(\$0.75)		(\$0.50)
Contribution Margin 1 per Order	(\$18.50)		(\$1.25)		\$7.00
Incentives	(\$1.50)		(\$1.00)		(\$1.00)
Social Media	(\$1.00)		(\$0.75)		(\$0.50)
Other Sales & Marketing	(\$1.00)		(\$0.25)		\$0.00
Contribution Margin 2 per Order	(\$22.00)		(\$3.25)		\$5.50

(1) All values are in terms of dollars, not in terms of millions of dollars as was mostly the case in Exhibit 1.

Exhibit 4

Non-GAAP and U.S. GAAP Profit & Loss Statements

Non-GAAP Quarterly P&L	
<i>in millions (except Basket Size)</i>	Q3 2023
Gross Merchandise Value	\$85.5
Orders	0.9
Basket Size	\$95.0
Revenue	\$11.0
Costs of Revenue	\$23.0
Gross Margin	(\$12.0)
Operations & Support (1)	\$2.0
Sales & Marketing	\$1.4
General & Administrative	\$0.8
Research & Development	\$0.8
Total Operating Expenses	\$5.0
Adjusted EBITDA	(\$17.0)
Monthly Burn	(\$5.7)

(1) Includes driver marketing, support & city operations.

U.S. GAAP Quarterly P&L	
<i>in millions (except Basket Size)</i>	Q3 2023
Gross Merchandise Value	\$85.5
Orders	0.9
Basket Size	\$95.0
Revenue (1)	\$5.0
Costs of Revenue	\$18.0
Gross Margin	(\$13.0)
Operations & Support	\$2.3
Sales & Marketing (2)	\$0.7
General & Administrative (3)	\$3.0
Research & Development	\$1.0
Operating Expenses (4)	\$7.0
Operating Profit	(\$20.0)
Interest	(\$0.2)
Provision for Income Taxes	\$1.0
Other	(\$0.3)
Net Income	(\$19.5)

(1) GAAP Revenue is net of driver costs and incentive marketing.

(2) Sales & Marketing does not include incentives

(3) General & Administrative includes \$2.2M for legal reserves for worker classification lawsuits.

(4) Opex includes stock based compensation (approx. 10% of Non-GAAP cost).

Exhibit 5

Income Statement and Non-GAAP Financial Measures – Lyft, Inc.

Consolidated Statement of Operations

	Year Ended December 31,		
	2022	2021	2020
	(in thousands)		
Revenue	\$ 4,095,135	\$ 3,208,323	\$ 2,364,681
Costs and expenses			
Cost of revenue	2,435,736	1,702,317	1,447,516
Operations and support	443,846	402,233	453,963
Research and development	856,777	911,946	909,126
Sales and marketing	531,512	411,406	416,331
General and administrative	1,286,180	915,638	946,127
Total costs and expenses	5,554,051	4,343,540	4,173,063
Loss from operations	(1,458,916)	(1,135,217)	(1,808,382)
Interest expense	(19,735)	(51,635)	(32,678)
Other income (expense), net	(99,988)	135,933	43,669
Loss before income taxes	(1,578,639)	(1,050,919)	(1,797,391)
Provision for (benefit from) income taxes	5,872	11,225	(44,534)
Net loss	\$ (1,584,511)	\$ (1,062,144)	\$ (1,752,857)

Contribution and Contribution Margin

Contribution and Contribution Margin are measures used by our management to understand and evaluate our operating performance and trends. Gross profit is the most directly comparable financial measure to Contribution and gross profit margin is similarly comparable to Contribution Margin. We believe Contribution and Contribution Margin are key measures of our ability to achieve profitability. We define Contribution as gross profit, or revenue less cost of revenue, adjusted to exclude the following items from cost of revenue:

- amortization of intangible assets
- stock-based compensation expense
- payroll tax expense related to stock-based compensation
- net amount from claims ceded under the Reinsurance Agreement
- transaction costs related to certain legacy auto insurance liabilities, if any and
- restructuring charges, if any.

	Year Ended December 31,		
	2022	2021	2020
	(in millions)		
Revenue	\$ 4,095.1	\$ 3,208.3	\$ 2,364.7
Less cost of revenue	(2,435.7)	(1,702.3)	(1,447.5)
Gross profit	1,659.4	1,506.0	917.2
Gross profit margin	40.5 %	46.9 %	38.8 %
Adjusted to exclude the following (as related to cost of revenue):			
Amortization of intangible assets	5.0	11.0	12.0
Stock-based compensation expense	44.1	39.5	28.7
Payroll tax expense related to stock-based compensation	1.2	1.8	1.5
Net amount from claims ceded under the Reinsurance Agreement ⁽¹⁾⁽²⁾	18.5	52.8	—
Transactions related to certain legacy auto insurance liabilities ⁽³⁾⁽⁴⁾	—	20.2	62.5
Restructuring charges ⁽⁵⁾⁽⁶⁾	1.6	—	3.5
Contribution ⁽⁷⁾	\$ 1,729.8	\$ 1,631.3	\$ 1,025.4
Contribution Margin ⁽⁷⁾	42.2 %	50.8 %	43.4 %

(1) Reflects the net amount recognized on the statement of operations associated with claims ceded under the Reinsurance Agreement, including any losses related to the deferral gains on the statement of operations and any benefit from the amortization of the deferred gain in the same period, to help investors understand the ultimate economic benefit of the Reinsurance Agreement.

(2) Includes a \$36.8 million gain recognized in cost of revenue in the second quarter of 2022 on the consolidated statement of operations related to the Commutation Transaction, which effectively commuted and settled the Reinsurance Agreement. Refer to Note 6 "Supplemental Financial Statement Information" to the consolidated financial statements for information regarding the Commutation Transaction.

(3) In the second quarter of 2021, we entered into a Reinsurance Agreement under which a third party reinsured certain legacy auto insurance liabilities. The total impact of the transaction to reinsure certain legacy auto insurance liabilities on our consolidated statement of operations was \$20.4 million, with \$20.2 million in cost of revenue and \$0.2 million in general and administrative expense in the year ended December 31, 2021.

(4) In the first quarter of 2020, we transferred certain legacy auto insurance liabilities. The total impact of the transfer of certain legacy auto insurance liabilities on our consolidated statement of operations was \$64.7 million, with \$62.5 million in cost of revenue and \$2.2 million in general and administrative expense in the year ended 2021.

(5) In the fourth quarter of 2022, we incurred \$1.6 million of severance and other employee costs. Restructuring-related charges of \$0.2 million for the stock-based compensation and payroll taxes related to stock-based compensation are included on their respective line items.

(6) In the second and fourth quarter of 2020, we incurred \$2.0 million of severance and other employee costs and \$1.5 million of other restructuring charges. Restructuring related charges for the stock-based compensation benefit of \$4.2 million and payroll taxes related to stock-based compensation of \$0.1 million are included on their respective line items.

(7) Due to rounding, numbers presented may not add up precisely to the totals provided.

Exhibit 5 (con't)

Income Statement and Non-GAAP Financial Measures – Lyft, Inc.

Adjusted EBITDA and Adjusted EBITDA Margin

Adjusted EBITDA and Adjusted EBITDA Margin are key performance measures that our management uses to assess our operating performance and the operating leverage in our business. Because Adjusted EBITDA and Adjusted EBITDA Margin facilitate internal comparisons of our historical operating performance on a more consistent basis, we use these measures for business planning purposes. We expect Adjusted EBITDA and Adjusted EBITDA Margin will increase over the long term as we continue to scale our business and achieve greater efficiencies in our operating expenses. We calculate Adjusted EBITDA as net loss, adjusted for:

- interest expense
- other income (expense), net
- provision for (benefit from) income taxes
- depreciation and amortization
- stock-based compensation
- payroll tax expense related to stock-based compensation
- net amount from claims ceded under the Reinsurance Agreement
- sublease income
- costs related to acquisitions and divestitures, if any; and
- restructuring charges, if any

	Year Ended December 31,		
	2022	2021	2020
	(in millions)		
Net loss	\$ (1,584.5)	\$ (1,062.1)	\$ (1,752.9)
Adjusted to exclude the following:			
Interest expense ⁽¹⁾	20.8	52.8	34.2
Other (income) expense, net ⁽²⁾	100.0	(135.9)	(43.7)
Provision for (benefit from) income taxes	5.9	11.2	(44.5)
Depreciation and amortization	154.8	139.3	157.3
Stock-based compensation	750.8	724.6	565.8
Payroll tax expense related to stock-based compensation	17.0	31.5	23.7
Net amount from claims ceded under the Reinsurance Agreement ⁽³⁾⁽⁴⁾	18.5	52.8	—
Sublease income ⁽⁵⁾	11.6	6.6	—
Costs related to acquisitions and divestitures ⁽⁶⁾	2.3	1.5	0.4
Transactions related to certain legacy auto insurance liabilities ⁽⁷⁾⁽⁸⁾	—	20.4	64.7
Restructuring charges ⁽⁹⁾⁽¹⁰⁾	86.6	—	35.5
Adjusted EBITDA ⁽¹¹⁾	\$ (416.5)	\$ (157.5)	\$ (959.3)

(1) Includes interest expense for Flexdrive vehicles and the 2025 Notes. \$1.1 million related to the interest component of vehicle related finance leases in each of the years ended December 31, 2022 and 2021. Refer to Note 8 "Leases" to the consolidated financial statements for information regarding the interest component of vehicle-related finance leases.

(2) Includes a \$135.7 million impairment charge related to a non-marketable equity investment and other assets in the third quarter of 2022, a \$119.3 million pre-tax gain from the transaction with Woven Planet in the third quarter of 2021 and interest income which was reported as a separate line item on the consolidated statement of operations in periods prior to the second quarter of 2020.

(3) Reflects the net amount recognized on the statement of operations associated with claims ceded under the Reinsurance Agreement, including any losses related to the deferral gains on the statement of operations and any benefit from the amortization of the deferred gain in the same period, to help investors understand the ultimate economic benefit of the Reinsurance Agreement.

(4) Includes a \$36.8 million gain recognized in cost of revenue in the second quarter of 2022 on the consolidated statement of operations related to the Commutation Transaction, which effectively commuted and settled the Reinsurance Agreement. Refer to Note 6 "Supplemental Financial Statement Information" to the consolidated financial statements for information regarding the Commutation Transaction.

(5) Includes sublease income from subleases entered into as part of the transaction with Woven Planet in the third quarter of 2021. Sublease income prior to the third quarter of 2021 was immaterial. Refer to Note 4 "Divestitures" to the consolidated financial statements for information regarding our transaction with Woven Planet for the divestiture of certain assets related to our self-driving vehicles division, Level 5.

(6) Includes third-party costs incurred related to our acquisition of PBSC in the second quarter of 2022 and our transaction with Woven Planet in the second quarter of 2021. In the third quarter of 2022, this includes adjustments to the contingent consideration related to our acquisition of PBSC.

(7) In the second quarter of 2021, we entered into a Reinsurance Agreement under which a third party reinsured certain legacy auto insurance liabilities. The total impact of the transaction to reinsure certain legacy auto insurance liabilities on our consolidated statement of operations was \$20.4 million, with \$20.2 million in cost of revenue and \$0.2 million in general and administrative expense in the year ended December 31, 2021.

(8) In the first quarter of 2020, we transferred certain legacy auto insurance liabilities. The total impact of the transfer of certain legacy auto insurance liabilities on our consolidated statement of operations was \$64.7 million, with \$62.5 million in cost of revenue and \$2.2 million in general and administrative expense in the year ended December 31, 2021.

(9) In the fourth quarter of 2022, we incurred restructuring charges of \$29.2 million of severance and other employee costs and \$57.4 million related to lease termination and other restructuring costs. Restructuring related charges for stock-based compensation of \$9.5 million, payroll taxes related to stock-based compensation of \$0.3 million and accelerated depreciation of \$23.9 million are included on their respective line items.

(10) In the second and fourth quarter of 2020, we incurred restructuring charges of \$32.9 million of severance and other employee costs and \$2.6 million related to lease termination and other restructuring costs. Restructuring related charges for the stock-based compensation benefit of \$50.0 million, payroll taxes related to stock-based compensation of \$0.7 million and accelerated depreciation of \$0.5 million are included on their respective line items.

(11) Due to rounding, numbers presented may not add up precisely to the totals provided.

Source: Lyft, Inc. 2022 10-K.

Exhibit 6

Income Statement and Non-GAAP Financial Measures – DoorDash, Inc.

Consolidated Statements of Operations

	Year Ended December 31,		
	2021	2022	2023
Revenue	\$ 4,888	\$ 6,583	\$ 8,635
Costs and expenses:			
Cost of revenue, exclusive of depreciation and amortization shown separately below	2,338	3,588	4,589
Sales and marketing	1,619	1,682	1,876
Research and development	430	829	1,003
General and administrative	797	1,147	1,235
Depreciation and amortization	156	369	509
Restructuring charges	—	92	2
Total costs and expenses	5,340	7,707	9,214
Loss from operations	(452)	(1,124)	(579)
Interest income (expense), net	(11)	30	152
Other expense, net	—	(305)	(107)
Loss before income taxes	(463)	(1,399)	(534)
Provision for (benefit from) income taxes	5	(31)	31
Net loss including redeemable non-controlling interests	(468)	(1,368)	(565)
Less: net loss attributable to redeemable non-controlling interests	—	(3)	(7)
Net loss attributable to DoorDash, Inc. common stockholders	\$ (468)	\$ (1,365)	\$ (558)
Net loss per share attributable to DoorDash, Inc. common stockholders, basic and diluted	\$ (1.39)	\$ (3.68)	\$ (1.42)
Weighted-average number of shares outstanding used to compute net loss per share attributable to DoorDash, Inc. common stockholders, basic and diluted	336,847	371,413	392,948

Contribution Profit (Loss). We use Contribution Profit to evaluate our operating performance and trends. We believe that Contribution Profit is a useful indicator of the economic impact of orders fulfilled through DoorDash as it takes into account the direct expenses associated with generating and fulfilling orders. We define Contribution Profit as our gross profit less sales and marketing expense plus (i) depreciation and amortization expense related to cost of revenue, (ii) stock-based compensation expense and certain payroll tax expense included in cost of revenue and sales and marketing expenses, (iii) allocated overhead included in cost of revenue and sales and marketing expenses, and (iv) inventory write-off related to restructuring. We define gross margin as gross profit as a percentage of revenue for the same period and we define Contribution Margin as Contribution Profit as a percentage of revenue for the same period. Gross profit is the most directly comparable financial measure to Contribution Profit. The following table provides a reconciliation of gross profit to Contribution Profit:

(in millions, except percentages)	Year Ended December 31,		
	2021	2022	2023
Revenue	\$ 4,888	\$ 6,583	\$ 8,635
Less: Cost of revenue, exclusive of depreciation and amortization	(2,338)	(3,588)	(4,589)
Less: Depreciation and amortization related to cost of revenue	(98)	(171)	(186)
Gross profit	\$ 2,452	\$ 2,824	\$ 3,860
Gross Margin	50.2 %	42.9 %	44.7 %
Less: Sales and marketing	\$ (1,619)	\$ (1,682)	\$ (1,876)
Add: Depreciation and amortization related to cost of revenue	98	171	186
Add: Stock-based compensation expense and certain payroll tax expense included in cost of revenue and sales and marketing	101	201	259
Add: Allocated overhead included in cost of revenue and sales and marketing	39	51	53
Add: Inventory write-off related to restructuring	—	2	—
Contribution Profit	\$ 1,071	\$ 1,567	\$ 2,482
Contribution Margin	21.9 %	23.8 %	28.7 %

Adjusted EBITDA. Adjusted EBITDA is a measure that we use to assess our operating performance and the operating leverage in our business. We define Adjusted EBITDA as net income (loss) including redeemable non-controlling interests, adjusted to exclude (i) certain legal, tax, and regulatory settlements, reserves, and expenses, (ii) loss on disposal of property and equipment, (iii) transaction-related costs (primarily consists of acquisition, integration, and investment related costs), (iv) 67 Table of Contents impairment expenses, (v) restructuring charges,

Exhibit 6 (con't)

Income Statement and Non-GAAP Financial Measures – DoorDash, Inc.

(vi) inventory write-off related to restructuring, (vii) provision for (benefit from) income taxes, (viii) interest (income) expense, net, (ix) other expense, net, (x) stock-based compensation expense and certain payroll tax expense, and (xi) depreciation and amortization expense. The following table provides a reconciliation of net loss including redeemable non-controlling interests to Adjusted EBITDA:

(in millions)	Year Ended December 31,		
	2021	2022	2023
Net loss including redeemable non-controlling interests	\$ (468)	\$ (1,368)	\$ (565)
Certain legal, tax, and regulatory settlements, reserves, and expenses ⁽¹⁾	77	72	162
Transaction-related costs ⁽²⁾	10	68	2
Impairment expenses ⁽³⁾	1	2	—
Restructuring charges	—	92	2
Inventory write-off related to restructuring	—	2	—
Provision for (benefit from) income taxes	5	(31)	31
Interest (income) expense, net	11	(30)	(152)
Other expense, net ⁽⁴⁾	—	305	107
Stock-based compensation expense and certain payroll tax expense ⁽⁵⁾	497	880	1,094
Depreciation and amortization expense	156	369	509
Adjusted EBITDA	\$ 289	\$ 361	\$ 1,190

(1) We exclude certain costs and expenses from our calculation of Adjusted EBITDA because management believes that these costs and expenses are not indicative of our core operating performance, do not reflect the underlying economics of our business, and are not necessary to operate our business. These excluded costs and expenses consist of (i) certain legal costs primarily related to worker classification matters, as well as a settlement entered into in connection with an initiative to serve underrepresented communities, (ii) reserves and settlements or other resolutions for or related to the collection of sales, indirect, and other taxes that we do not expect to incur on a recurring basis, (iii) costs related to the settlement of an intellectual property matter, (iv) expenses related to supporting various policy matters, including those related to worker classification, other labor law matters, and price controls, and (v) donations as part of our relief efforts in connection with the COVID-19 pandemic and Russia's invasion of Ukraine. We believe it is appropriate to exclude the foregoing matters from our calculation of Adjusted EBITDA because (1) the timing and magnitude of such expenses are unpredictable and thus not part of management's budgeting or forecasting process, and (2) with respect to worker classification matters, management currently expects such expenses will not be material to our results of operations over the long term as a result of increasing legislative and regulatory certainty in this area, including as a result of Proposition 22 in California and similar legislation.

(2) Consists of acquisition, integration, and investment related costs, primarily related to our acquisition of Wolt.

(3) Consists of impairment expense related to an operating lease right-of-use asset associated with our former headquarters.

(4) Consists primarily of adjustments to non-marketable equity securities, including impairment.

(5) Excludes stock-based compensation related to restructuring, which is included in restructuring charges in the table above.

Source: DoorDash, Inc. 2023 Form S-1

Exhibit 7

Public Company Adjusted EBITDA Reconciliations

Doordash per 10K Filing (2023)

(in millions)	Year Ended December 31,		
	2021	2022	2023
Net loss including redeemable non-controlling interests	\$ (468)	\$ (1,368)	\$ (565)
Certain legal, tax, and regulatory settlements, reserves, and expenses ⁽¹⁾	77	72	162
Transaction-related costs ⁽²⁾	10	68	2
Impairment expenses ⁽³⁾	1	2	—
Restructuring charges	—	92	2
Inventory write-off related to restructuring	—	2	—
Provision for (benefit from) income taxes	5	(31)	31
Interest (income) expense, net	11	(30)	(152)
Other expense, net ⁽⁴⁾	—	305	107
Stock-based compensation expense and certain payroll tax expense ⁽⁵⁾	497	880	1,094
Depreciation and amortization expense	156	369	509
Adjusted EBITDA	\$ 289	\$ 361	\$ 1,190

- (1) We exclude certain costs and expenses from our calculation of Adjusted EBITDA because management believes that these costs and expenses are not indicative of our core operating performance, do not reflect the underlying economics of our business, and are not necessary to operate our business. These excluded costs and expenses consist of (i) certain legal costs primarily related to worker classification matters, as well as a settlement entered into in connection with an initiative to serve underrepresented communities, (ii) reserves and settlements or other resolutions for or related to the collection of sales, indirect, and other taxes that we do not expect to incur on a recurring basis, (iii) costs related to the settlement of an intellectual property matter, (iv) expenses related to supporting various policy matters, including those related to worker classification, other labor law matters, and price controls, and (v) donations as part of our relief efforts in connection with the COVID-19 pandemic and Russia's invasion of Ukraine. We believe it is appropriate to exclude the foregoing matters from our calculation of Adjusted EBITDA because (1) the timing and magnitude of such expenses are unpredictable and thus not part of management's budgeting or forecasting process, and (2) with respect to worker classification matters, management currently expects such expenses will not be material to our results of operations over the long term as a result of increasing legislative and regulatory certainty in this area, including as a result of Proposition 22 in California and similar legislation.
- (2) Consists of acquisition, integration, and investment related costs, primarily related to our acquisition of Wolt.
- (3) Consists of impairment expense related to an operating lease right-of-use asset associated with our former headquarters.
- (4) Consists primarily of adjustments to non-marketable equity securities, including impairment.
- (5) Excludes stock-based compensation related to restructuring, which is included in restructuring charges in the table above.

Uber per 10K Filing (2023)

(In millions)	Year Ended December 31,	
	2022	2023
Adjusted EBITDA reconciliation:		
Net income (loss) attributable to Uber Technologies, Inc.	\$ (9,141)	\$ 1,887
Add (deduct):		
Net income attributable to non-controlling interests, net of tax	3	269
Provision for (benefit from) income taxes	(181)	213
Income from equity method investments	(107)	(48)
Interest expense	565	633
Other (income) expense, net	7,029	(1,844)
Depreciation and amortization	947	823
Stock-based compensation expense	1,793	1,935
Legal, tax, and regulatory reserve changes and settlements	732	9
Goodwill and asset impairments/loss on sale of assets, net	25	84
Acquisition, financing and divestitures related expenses	46	36
Accelerated lease costs related to cease-use of ROU assets	6	—
COVID-19 response initiatives	1	—
Loss on lease arrangement, net	7	4
Restructuring and related charges	2	51
Mass arbitration fees, net	(14)	—
Adjusted EBITDA	\$ 1,713	\$ 4,052

Exhibit 7 (con't)
Public Company Adjusted EBITDA Reconciliations

Instacart per 10K Filing (2023)

	Year Ended December 31,		
	2021	2022	2023
	(In millions, except percentages)		
Net income (loss)	\$ (73)	\$ 428	\$ (1,622)
Add (deduct):			
Provision for (benefit from) income taxes	1	(357)	(439)
Interest income	(2)	(17)	(81)
Other income (expense), net	(12)	8	—
Depreciation and amortization expense	16	34	43
Stock-based compensation expense	22	33	2,756
Payroll taxes related to stock-based compensation ⁽¹⁾	—	—	24
Certain legal and regulatory accruals and settlements, net ⁽²⁾	46	50	(4)
Reserves for sales and other indirect taxes ⁽³⁾	13	(1)	(35)
COVID-19 response initiatives ⁽⁴⁾	3	—	—
Acquisition-related expenses	10	4	(4)
Other ⁽⁵⁾	10	5	3
Adjusted EBITDA	\$ 34	\$ 187	\$ 641
GTV	\$ 24,909	\$ 28,826	\$ 30,322
Net income (loss) as a percent of GTV	(0.3)%	1.5 %	(5.3)%
Adjusted EBITDA as a percent of GTV	0.1 %	0.6 %	2.1 %
Revenue	\$ 1,834	\$ 2,551	\$ 3,042
Net income (loss) as a percent of revenue	(4)%	17 %	(53)%
Adjusted EBITDA margin	2 %	7 %	21 %

⁽¹⁾ Represents employer payroll taxes related to the vesting and settlement of certain equity awards.

⁽²⁾ Represents certain legal, regulatory, and policy expenses related to worker classification matters.

⁽³⁾ Represents sales and other indirect tax reserves, net of abatements, for periods in which we were unable to collect such taxes from customers. We believe this adjustment is useful for investors in understanding our operating performance because in these cases, the taxes were not intended to be a cost to us but rather are to be borne by the customers.

⁽⁴⁾ Represents the cost of all personal protective equipment distributed to shoppers during the COVID-19 pandemic. We ceased excluding this cost following the first quarter of 2022 as the impact of the COVID-19 pandemic and its variant outbreaks on our business subsided.

⁽⁵⁾ Represents non-capitalizable expenses related to the public listing of our common stock and issuance costs related to the issuance of our Series A Preferred Stock.